

HOW GIFT IFSC COMPARES WITH DUBAI'S DIFC

	DIFC (as on Dec 31, 2025)	GIFT IFSC (as on Dec 31, 2025)
▶ Registered Entities	2,525	1,100
▶ Asset Management Companies	500	202
▶ Assets Under Management	\$700 billion (mid-2025)	\$32 billion (commitments raised); \$80 billion (targeted corpus)
▶ Banking Assets	\$240 billion (as of October 2025)	\$106.33 billion
▶ Revenue	Around \$581 million (in 2025)	NA

SOURCE IFSC/DIFC

THE INCENTIVES

▶ Twenty-year tax holiday within a 25-year block, raised this year from 10 years within a 15-year block.

▶ A unified regulator aims to offer single window clearance to set up businesses.

▶ No capital gains tax on transfer of notified capital assets on the IFSC Stock Exchange by non-residents.

▶ Income tax exemption on interest payments by an IFSC unit to a non-resident.



▶ Concessional Minimum Alternate Tax rate of 9% compared with the standard 15% in the domestic tariff area.

▶ NRIs OCIs can tap international markets through GIFT City funds available in major global currencies; there is no tax deducted at source

▶ No GST on services received by units in GIFT IFSC or provided to GIFT IFSC/SEZ units or offshore clients.

▶ There is no STT (securities transactions tax) or CTT (commodities transactions tax) on transactions on GIFT City International Exchanges.

or commodities transaction tax and specific securities are exempted from capital gains tax. Offshore services are exempt from GST. Also, entities in GIFT IFSC are considered non-resident and, therefore, can transact freely in foreign currency.

Just as GIFT City is emerging as a platform for inbound and outbound investments, banking assets have also grown significantly. Corporates are also using it to raise debt. Total banking assets as of February were \$106.7 billion, a seven-fold increase from around \$15 billion in 2020, says Rajaraman. There are 37 banks registered in GIFT IFSC, including 20 foreign ones. A large part of the external commercial borrowings is being routed through GIFT IFSC, he says.

Cumulative debt listings on international exchanges in GIFT IFSC, with over 200 bonds, had raised over \$70 billion as of February. Trading on international exchanges has also been picking up. In March, GIFT Nifty futures clocked the highest monthly turnover of \$129.8 billion.

Sebi, on May 5, released a consultation paper proposing to allow online bond platform providers (OBPP) to offer products regulated by GIFT IFSCA. This could enable OBPPs to access overseas listed debt securities through IFSC, thus expanding their offerings.

“Accessing global bond markets via IFSC will establish parity of asset classes and enable investors to further diversify their international portfolios,” says Aditi Mittal, co-founder of IndiaBonds.

However, primary market